Annual Operating Plan 2027

1. Investment priorities and funding order

Recommendation. Protect mandatory obligations, maintain essential change capacity and reserve funding for technology health. Allocate the remaining budget to eligible programs with the strongest submitted business value. Business-led and enterprise-wide demand compete within one portfolio. Their funding totals are reporting views, not separate budget ceilings.

The current demand file contains **279.995 M€** of requested investment. Under the recommended Balanced investment scenario, **95.118 M€** is allocated to **126 requests**, leaving **4.882 M€** available. All amounts are in millions of euros, shown as M€. Calculations use the requested 2027 investment and retain the original submitted benefits.

Order	Definition and funding decision
1. Legal and Compliance (Must Do)	Obligations carrying either qualifying overall Waste Matrix decision: Healthy / Must-Do, Immediate or Scheduled. Apply the selected funding percentage first. Immediate commitments precede Scheduled commitments. A sponsor's Must Do label or a validity score alone cannot grant automatic priority.
2. Change and Sustain	Recurring platform capacity for essential changes and continued operation. Fund the selected percentage of eligible demand after removing protected obligations. A reduction represents a capacity decision and requires an assessment of the service impact.
3. Carry-over commitments	Work started before 2027. Give earlier consideration to eligible programs whose original lifetime benefit is at least twice the 2027 request. Past expenditure alone does not justify continuation. Programs below this threshold may still compete as ROI driven Demand.
4. Decommissioning and Hygiene	A ring-fenced allocation for decommissioning, technical debt reduction and technology lifecycle work across business-led and enterprise-wide demand. Require a stated retirement, support, maintenance or technical debt issue and a defined scope. Prioritise the stated consequence of inaction, then lower requested investment. New features bundled into replacement work need a separate scope decision.
5. ROI driven Demand	All other eligible demand competes for the remaining envelope using submitted lifetime benefit, benefit relative to the request and program merit. Select whole programs in the stated order. Explain every request below the funding line, including those that do not fit the remaining budget.

Regional treatment. North America, Greater China and International Regions have no separate allocation, lever or funding stage. Their demand enters the relevant Change and Sustain, Legal and Compliance, or Decommissioning and Hygiene category. Other regional requests follow the same carry-over and ROI driven Demand rules as other organisations. Regional ownership remains a reporting view and confers no additional funding priority.

Guidance still required. Finance **6.225 M€**, Group Functions **7.630 M€** and Supply Chain **4.160 M€** require validation of their mandatory and discretionary scope. Finance has no qualifying overall matrix decision and therefore remains in Change and Sustain under the revised rule. A confirmed scope split may move an amount into Legal and Compliance only when supported by the qualifying decision. Never fund the same scope twice.

One allocation per request. Fund a request at its first qualifying stage. Preserve the hygiene reservation while selecting carry-overs. Qualifying hygiene work funded under Legal and Compliance consumes that reservation; only the balance funds additional hygiene work. Waste findings remain part of program assessment and do not form a separate funding stage.

2. Legal and Compliance eligibility and waste assessment

Automatic priority follows the overall Waste Matrix decision. Use the recorded overall decision from the business-led or enterprise-wide matrix. Only these two outcomes qualify: **HEALTHY / MUST-DO — P1 — Immediate** and **HEALTHY / MUST-DO — P2 — Scheduled**. Both receive the selected Legal and Compliance funding percentage. The current matched source contains **30 Immediate and 3 Scheduled requests**, totaling **15.702 M€**.

Validity explains the mandate. Each supplied criterion is rated from 1, unsupported, to 5, fully substantiated. Multiply the ratings by their weights and add them. This supporting score remains on a 1-to-5 scale; it does not independently trigger funding.

Validity dimension	Weight	Executive definition
Named authority and instrument	25%	The specific law, regulation or tax rule, its relevant clause and the issuing authority can be identified and checked.
Mandatory requirement	30%	The proposed action is required to meet the obligation. Optional improvements are distinguished from the required response.
Confirmed applicability	25%	Legal, Compliance or Tax has confirmed that the requirement applies to the relevant entity, country and process.
Independent validation	20%	An accountable control function has reviewed the requirement and recorded its conclusion independently of the sponsor.

Eligibility limits. A blank or different overall decision does not qualify. A compliance name and year, validity score of 5, separate priority rating or Finance classification cannot substitute for either qualifying outcome. Conflicts with supporting evidence remain visible for resolution; do not silently replace the recorded overall decision.

Risk determines sequence within each group. Immediate means first priority; Scheduled means the next priority group. Within each, fund the nearest documented deadlines first, then the highest exposure. Severity measures non-compliance harm; likelihood measures its probability without action. Multiply their supplied 1-to-5 ratings: exposure is **Low 1-4, Medium 5-9, High 10-14, Critical 15-25**. These ratings support the recorded decision and apply only to compliance demand.

Scope determines what should be funded. The minimum-viable-scope rating runs from 1, substantial optional scope, to 5, only what the obligation requires. Ratings below 4 require a scope challenge. Record the priced minimum when available. A funding reduction leaves a visible obligation gap until the owner confirms a compliant delivery plan.

Waste measures avoidable spend. Each condition uses its own supplied rating descriptions: **1 means the condition does not apply; 5 means it fully applies**. Multiply the nine ratings by their weights and add them. A waste rating of 5 requires a scope review.

Waste dimension	Weight	What the assessment tests
Sunset technology investment	20%	New spending on technology already designated for retirement or replacement.
Departure from target architecture	15%	Growth outside the agreed future technology estate.
Duplicate enterprise capability	10%	Local spending on a capability already available from a shared solution.
Weak business case	15%	Insufficient benefits, accountability or evidence of payback.
Low strategic fit	15%	Lack of a traceable connection to a stated business or company priority.
Fragmentation	10%	Repeated standalone changes that could be consolidated into planned work.
Unused capacity	5%	Additional licences or capacity despite spare capacity already available.
Supplier dependence and exit cost	5%	Spending that increases dependence on a supplier or system intended for exit.
Deferrable demand	5%	Work that can wait without a dated business, legal or security consequence.

Decision bands. Below 2: Healthy, proceed on merit. From 2 to below 3: Contain, proceed with conditions. From 3 to below 4: Challenge, require a priced minimum scope. From 4 to 5: Exit candidate for discretionary work. Any individual rating of 5 triggers a specific scope review even when the average is low. For protected obligations, retain priority and challenge the proposed solution. Missing ratings remain Unknown and are never treated as healthy.

3. Program merit and funding levers

Program merit measures the strength of discretionary demand. Legal and Compliance, Change and Sustain, and evidenced hygiene do not require a quantified financial benefit to enter their stages. Carry-over commitments and ROI driven Demand require a usable benefit greater than the 2027 request and the selected minimum merit score. These rules apply equally to regional demand.

Merit dimension	Maximum points	Definition and initial scoring rule
Benefit relative to investment	50	Submitted lifetime benefit divided by requested 2027 investment. Below 1 time or missing: 0 points. From 1 to below 2 times: 20. From 2 to below 3 times: 30. From 3 to below 5 times: 40. At least 5 times: 50. Exactly 1 time does not pass the funding requirement.
Submitted business priority	25	The sponsor's stated priority: Must Do 25, Must Have 18, Deprioritised 5, missing or unrecognised 0. A Must Do label alone does not establish a mandatory obligation.
Consequence of not proceeding	15	Use the stated impact, problem and scope: no usable consequence 0; general consequence 5; named affected activity and explicit harm 10; that consequence with a stated percentage impact or enterprise-wide reach 15. Preserve the supporting passage. Dependencies identify prerequisites and add no separate points.
Waste assessment	10	Healthy 10, Contain 6, Challenge 2, Exit or Unknown 0. The waste decision overrides the points. Unknown means unassessed, not confirmed waste.

How the score affects selection. Add the four dimensions, up to 100 points. The proposed minimum is 45 for Balanced investment and 65 for Confirmed evidence. Among eligible programs, rank by usable absolute lifetime benefit, then benefit relative to the request, then total merit score. Use the source reference to resolve a final tie. A high score cannot remove an evidence hold, override a reservation or justify overspending.

Benefit discipline. Claims above five times the request require review and manual inclusion before benefit-driven funding. Hold ambiguous values for clarification; never infer savings from descriptive language. Carry-over benefits are original business-case values and may include benefits already realised. ROI driven Demand denotes value-led selection: this comparison is not a full return-on-investment calculation. Exactly five times is eligible if the amount is clear.

Worked example. Submitted lifetime benefit of **7.628 M€** divided by requested investment of **2.950 M€** equals **2.586 times**. Benefit points 30, submitted priority 25, stated consequence 15 and Unknown waste 0 produce **70 points**. The source passage states a 7-10% productivity loss. This supports the consequence tier but does not create an additional monetary benefit.

Lever	Definition and effect
Portfolio envelope	Total available investment, initially 100.000 M€. Every allocation reduces this balance. Business-led and enterprise-wide totals show the resulting distribution.
Legal and Compliance funding coverage	Percentage of qualifying Immediate and Scheduled requests to fund, initially 100%. Lower coverage preserves priority and displays the unfunded obligation and required delivery decision.
Change and Sustain coverage	Percentage of eligible demand after Legal and Compliance overlaps. The current base is 30.348 M€, including Finance pending the scope validation described on page 1.
Hygiene reservation	Percentage of the envelope reserved for evidenced decommissioning, technical debt and lifecycle work. Deduct qualifying hygiene work funded earlier. Keep unused capacity reserved until leadership explicitly releases it.
Carry-over threshold	Minimum lifetime-benefit multiple for earlier consideration of work already started, initially twice the 2027 request. All other evidence and waste rules still apply.
Minimum merit and waste evidence	The minimum program score and whether a completed waste assessment is required for discretionary selection. Score tiers and weights are configurable policy choices.
Reviewed inclusion and allocation	Add or remove a named program, or enter a reviewed scope amount, with a recorded reason. Recalculate all stages, reservations and reporting totals. Retain any obligation gap or unresolved dependency.

Percentages support sliders and direct entry. Selecting a scenario sets its stated values; editing a value creates a Custom scenario. Refreshes retain source values, approved decisions and their reasons, and identify changed evidence. There is no regional funding lever.

4. Recommended scenarios and allocation effects

Balanced investment - recommended. Retain mandatory funding and current Change and Sustain capacity, preserve the hygiene reservation and fund eligible business opportunities. Allow missing waste assessments to remain visible as conditions for review. This provides the broadest supportable investment plan within the current evidence and selected reservations.

Confirmed evidence. Apply a higher merit threshold and require a completed waste assessment for discretionary programs. Use this scenario when leadership wants to limit recommendations to more complete submissions. The lower allocation reflects missing evidence as well as lower merit. It does not establish that every excluded program lacks value.

Reduced change capacity. Reduce Change and Sustain coverage to 60%, while retaining mandatory coverage and the other reservations. Use this to assess the consequences of a capacity reduction. The current source does not establish that all service outcomes can be maintained at this level.

Setting or outcome	Balanced investment	Confirmed evidence	Reduced change capacity
Legal and Compliance coverage	100%	100%	100%
Change and Sustain coverage	100%	100%	60%
Hygiene reservation	7.562%	7.562%	7.562%
Carry-over benefit threshold	2 times	2 times	2 times
Minimum merit score	45	65	45
Completed waste assessment for discretionary funding	Not required; missing flagged	Required	Not required; missing flagged
Total allocated, M€	95.118	58.792	82.979
Requests receiving funding	126	70	126
Unallocated envelope, M€	4.882	41.208	17.021
Requested investment left unfunded, M€	184.877	221.203	197.016
Business-led allocation, M€	33.079	9.883	32.814
Enterprise-wide allocation, M€	62.039	48.909	50.165
Regional ownership, within the above totals, M€	9.590	8.690	9.407

Reservation setting. The 7.562% hygiene reservation is a planning choice shared by these presets, not an independently evidenced minimum requirement. Adjust it as owners confirm scope. It includes qualifying hygiene work funded under Legal and Compliance. Regional totals report allocations already counted elsewhere and must not be added to portfolio funding.

Where the recommended allocation goes. Legal and Compliance **15.702 M€**; Change and Sustain **30.348 M€**; carry-over commitments **13.648 M€**; additional Decommissioning and Hygiene **6.682 M€**; ROI driven Demand **28.738 M€**. Together these total **95.118 M€**. Hygiene coverage is **7.562 M€**, including **0.880 M€** already funded under Legal and Compliance.

Decision implications. Confirmed evidence funds 56 fewer requests than Balanced investment and leaves **41.208 M€** unallocated. Reduced change capacity releases **12.139 M€** from Change and Sustain without adding funded requests on current evidence. The released amount remains available; it cannot resolve unsupported benefit claims. Balanced investment therefore preserves current change capacity while supporting the broader eligible portfolio.

Outstanding evidence. Balanced investment includes 69 funded requests with Unknown waste assessments. Resolve these conditions, the Finance, Group Functions and Supply Chain scope split, and reduced-scope decisions before final approval. The model preserves all 506 source records, including records without a positive request. Figures are planning recommendations based on the submitted information.

Source: 10926_IT AOP2027 Demand.xlsx, demand sheets and both waste matrices; supplied validity and waste rubrics; revised allocation rules. Two Scheduled requests were matched through reviewed name variations and identical request amounts. Revised 16 September 2026. Replaces the previous approach and scenario figures.